

I hope you got the logic. Similarly, PDL will act as support in balanced market conditions and acts as resistance in imbalanced market conditions. Let's see what happened on the next trading day.



Image 3.6 – Imbalance Open & Took Resistance at PDL in Nifty

If you look at the above chart (image 3.6), Nifty displayed an imbalanced open, and PDL acted as resistance twice on the next trading day.

